



Examiner's report

Advanced Financial Management (AFM)
June/July 2020

The examining team share their observations from the marking process to highlight strengths and weaknesses in candidates' performance, and to offer constructive advice for future candidates.

Due to the COVID-19 pandemic, the June 2020 exam was postponed and sat in July 2020. This report labelled July 2020 refers to this exam.

Overarching Comments

In this Advanced Financial Management (AFM) exam, under the Strategic Professional Level, all three questions are compulsory. It was pleasing to see that only a few candidates did not attempt all the questions. This suggests that the format of the exam where all questions are compulsory enabled candidates to maximise their time efficiently in answering the examination questions.

Many candidates scored high marks for a number of requirements, but others struggled to perform well in both numerical and discursive parts, as explained below.

This exam is in two sections. Section A consisted of a 50-mark compulsory question. Section B consisted of two compulsory questions of 25 marks each. All three questions in this examination contained a mixture of computational and discursive elements.

AFM exams test a range of syllabus areas and often more than one topic area of the syllabus in a single question. Candidates need to be able to apply knowledge and skills learnt to the requirements of each question part. Application of knowledge to the scenario laid out in the question is essential to pass this paper. It follows that any discussion or evaluation must relate to the context of the scenario set out in the question.

This is an advanced optional exam which builds on the knowledge and skills examined in the Financial Management exam. At this advanced stage, candidates are required to demonstrate their ability to read and quickly digest comprehensive and detailed questions, apply relevant knowledge and skills, and exercise professional judgement expected of a senior financial adviser, in recommending or making financial management decisions that are likely to affect the entire business organisation. For example, Section A normally sets out a complex business scenario in the form of a case study which requires candidates to demonstrate their ability to understand, deal with and communicate strategic issues that a senior financial manager or advisor may be expected to encounter in his or her career. As an illustration, the Section A question one in this exam tested a candidate's ability to provide sound advice, supported by relevant computations where applicable, in a coherent report. The question focussed on an international investment project using conventional investment appraisal techniques and adjusted present values. It also included a discursive exploration of wider areas such as when operating within an international context.

Like a senior financial person at work, a candidate is expected to read a business brief in the form of an exam question and decide on a relevant methodical approach to meeting the brief's objectives, making notes where necessary. Senior management work under

tight deadlines, and hence prioritising and good time management is crucial to performing well, under examination conditions.

Business reports and proposals are expected to be succinct, professionally written, and easy to read, with clear headings and conclusions. A candidate, who does not demonstrate this approach, will fail to earn the full professional marks that are available in question one. The hallmark of a good piece of written work is evidenced by a reasoned structure, narrative discussions that are relevant and in sufficient detail, and clear and easy to follow numerical workings supported where appropriate by brief notes. This examination also included a significant amount of technical content dispersed across the questions, to test a candidate's ability to perform them. Invariably, candidates will be expected to assess the findings of the technical computations within the context of the question's scenario.

Professional skills are relevant across all Strategic Professional exams. This exam specifically rewards professional skills in question one, but candidates should realise that they also underpin good performance throughout the exam. Requisite core skills include why information in scenarios will impact upon the discussion and evaluation asked for, understanding the viewpoints of those interested in the subsequent decisions and communicating recommendations clearly and concisely.

The main reasons for candidates performing less well were:

- i) Lack of detailed knowledge of parts of the syllabus areas and thereby not answering all parts of questions fully. Many candidates were not able to answer some questions or parts of questions comprehensively because they had not studied that area of the syllabus and study guide in sufficient depth;
- ii) Poor time management, which was more evident in this session compared with previous exams. Sometimes candidates spent too much time in carrying out relatively simple calculation tasks, and sometimes discussing one area repeatedly without considering a range of relevant areas;
- iii) Failing to respond fully to question requirements or take account of details in question scenarios that establish the parameters of the answer. Candidates must read question scenarios carefully and pay particular attention to the wording in the question requirements. These are skills that question practice will help develop;
- iv) Poor structure to the numerical and written answers. Not structuring question one, part (b) in a report format and thereby not gaining all the professional marks;
- v) Presenting the discursive answers in brief bullet-point format, often in incomplete sentences, as statements, and not as discussion-based, analytical, or evaluative, narrative. Such answers will not earn many marks;
- vi) Focussing more on either the numerical parts or the discursive parts of a question, instead of a balanced approach. In order to pass, a balance between undertaking calculations and providing discursive narrative is necessary;

- vii) Not reading the requirements of the question and therefore answering the question incorrectly. It is also important to note that the answers provided should be relevant to the question asked. General answers which do not relate directly to the scenario are unlikely to attract many marks;
- viii) Presenting answers in brief bullet points, without adequate discussion or evaluation;
- ix) Failing to take account of the marks available when answering written questions, thereby providing detailed answers for relatively minor parts, but very brief answers for a question parts where more marks were available.

Specific Comments

Question One

This was the 50-mark compulsory question in which the case study scenario focused on assessing a new project that a company wants to undertake in an international environment. The question also explored aspects of the international environment and transfer pricing.

In part a) candidates were asked to discuss the impact on a company considering an international investment project, of the country's government approaching the IMF for financial assistance and the opposition party proposing undertaking a quantitative easing strategy instead. Responses to this part tended to address the role of the IMF and the impact of the proposed actions by the government and the opposition party. However, relatively few responses were able to correctly discuss the impact of this to the company. Many responses discussed about restrictions in remittances, which was not required.

In part b) i) candidates were asked to undertake a conventional net present value computation of an international project. Candidates were also asked to calculate an appropriate discount rate. This part done well by the majority of candidates. Common errors included working out the inflationary impact incorrectly, not translating cash flows correctly and not calculating the impact of working capital correctly.

Part b) ii) asked candidates to estimate the impact, in present value terms, of the international project on the company's cash flows in the host country. These were the additional cash flow contribution and the additional tax payable. Most candidates made a reasonable attempt at answering this question. However, common errors included, only calculating the impact of one and not both categories of cash flows, not taking off the tax impact from the additional contribution, and not taking the bi-lateral tax agreement into account.

Part b) iii) asked candidates to estimate the impact of subsidised debt finance instead of equity to fund the international project. The candidates were also asked to determine the total value of the project. The majority of the candidates recognised that an adjusted present value was required and made a reasonable attempt estimating this. The most

common error was that some candidates did not account for the tax impact on the subsidised loan.

Responses to part b) iv) were variable. Many candidates provided a good discussion of the assumptions made, although not always just focussing on the exchange rates and the licensing agreement as required by the question. Fewer candidates discussed the approach taken in depth. Some candidates did not attempt this part at all. It is important that all parts of a question are attempted and that candidates study the entire AFM syllabus well, so that they can answer all parts of the question.

Part b) required the answer in a report format to which the professional marks were attached. While many candidates did present their answers in a report format, and thereby gained the majority or all the professional marks; a substantive minority of students did not address this requirement fully or at all.

Part c) asked candidates to discuss whether using a transfer price for a component, to reduce the negative impact of remittance restrictions, was feasible. This part was not done well by the majority of candidates. Few responses went into sufficient depth in the discussion. It appears that few candidates expected that this topic area would be examined and had not prepared for it. Well-prepared candidates recognised that this was a straightforward part of the question and achieved high marks.

Question Two

This was a 25-mark compulsory question on a proposed acquisition where candidates were asked to calculate P/E ratios, funding requirements, earnings per share (EPS) and gearing, under different acquisition finance scenarios. Candidates were then asked to discuss the impact of these on the acceptability of the acquisition to the target company's directors and the concerns the acquiring company's shareholders may have. Finally, regulatory and governance concerns were considered.

In part a) candidates were asked to calculate the P/E ratios under different finance scenarios (cash offer, share-for-share offer and mixed offer) and advise the benefit to the target company's directors. Candidates who attempted this part obtained the majority of marks, but a sizable minority of candidates did not attempt this part at all. It appears that some candidates had forgotten how to calculate P/E ratios, which is essential brought-forward knowledge.

Part b) asked candidates to estimate the funding required, the impact on EPS and the impact on gearing if the acquisition was undertaken, under each finance scenario. Many candidates were able to estimate the funding required and the impact on gearing, but few candidates were able to calculate the impact on EPS. Again, this is brought-forward knowledge. A small minority of candidates did not attempt this part at all.

In both parts a) and b) it appears that some candidates find it difficult to bring their knowledge and understanding from the applied skills exams, and apply this knowledge to situations at strategic professional. It is strongly recommended that adequate question practice is undertaken, where exam-style questions are done to time and without recourse

to model answers initially. This is the way to build skills needed to demonstrate understanding and application.

Part c) asked candidates to discuss concerns which the acquiring company's shareholders would have to the results obtained in part b) and the extent to which they would be concerned about the acquiring company's control is being passed to the target company's directors. This part was generally done quite well and a number of good, discursive responses were presented. However, as before, a small minority of candidates did not attempt this part.

Part d) asked candidates to discuss the concerns relating regulatory and governance issues. Candidates who attempted this part, did it well, but again many candidates did not attempt this part.

Question Three

This was a 25-mark compulsory question on the management of interest rate risk exposure using derivatives. Hedging calculations were required using three possibilities: collars on options, forward rate agreements (FRAs) and swaps. Candidates were asked to recommend the appropriate hedging strategy. Candidates were also asked to discuss the factors which should be considered if a treasury function were to be set-up as a cost centre or a profit centre.

In part a), candidates were asked to recommend a hedging strategy for a future loan if interest rates increase or decrease. Candidates were asked to support their recommendation with appropriate calculations and discussion. Many candidates calculated the impact of using FRAs and swaps correctly, and achieved high marks. Fewer candidates were able to set-up a collar on options correctly and follow through with appropriate calculations to support a discussion and recommendation. A significant minority of candidates did not set-up a collar hedge or the swap correctly. In the case of the collar hedge, these candidates presented calculations for futures and options hedges, which were not asked for. The discussion was mostly done well and many, but not all, candidates made a recommendation.

Part b) asked candidates to discuss the factors which should be considered if a treasury function were to be set-up as a cost centre or a profit centre. This part was not done well by many candidates. Weaker responses discussed setting up a treasury function generally and/or setting a centralised/decentralised treasury function. Many responses distinguished between a cost centre and a profit centre but did not discuss the factors which should be considered. Consequently, responses to this part were weaker. It is important for candidates to read the requirements of a question carefully and answer these. Few or no marks can be awarded for responses which do not address the requirements.

Overall recommendations

To sum up, candidates need to spend enough time studying to acquire sufficient knowledge and understanding of all areas of the syllabus, and then be able to apply their knowledge and understanding to the exam question scenario.

Trying to spot topics which will be tested is risky and not advisable, as all the exam questions are compulsory and several topic areas may be covered in a single question. All topic areas in the study guide and the syllabus should be considered as core and could be tested.

The consistent recommendation is that candidates are strongly advised to attempt plenty of exam standard questions to practice and develop their knowledge and skills. This, in particular means that exam standard questions should be attempted to time and in exam conditions. Little benefit is gained from turning to the answers before a good, sustained effort at answering a question is made. Candidates' answers should be compared with the model answers provided to identify knowledge, understanding and application gaps. Candidates should then work on addressing the gaps identified. This should be done over a period of time, consistently and thoroughly. Simply turning to and reading or writing down the model answers will not achieve this very necessary process, leading to successfully passing the AFM exam.

Candidates must be able to identify what is important in scenarios, read and respond fully to question requirements and question narrative, appreciate what matters to businesses and financial stakeholders, and produce answers that are well-structured and presented appropriately in both numerical and discursive elements.